



Retaining Your Customers

Surviving in your first year of business depends not only on building your customer base but also on prioritizing customers who consistently spend the most and ensuring they stay with you.

Know your customers

Establishing a loyal customer base can bring rewards to your business. Research by the Harvard Business School suggests that a 5 percent increase in customer retention can increase profit by as much as 95 percent. It can be

cheaper to keep existing customers than to acquire new ones, which may require considerable marketing effort and cost.

To retain your most valued customers, you need to engage with them and find out what interests them. Talk to your

customers face-to-face, asking for honest feedback, and analyze customer interactions online (see pp.140–141). Armed with good information, you can tailor your product or service to meet specific needs of your customers, so they feel valued and value you in return.

How to keep your customers

There are two key ways of keeping your customers loyal. The first involves improving your relationship with customers by personalizing their experience and helping them feel connected to your brand or business. The second involves maintaining the quality of your product or service. To do this, keep a keen eye on what goes on behind the scenes in your business. Regularly analyze your supply chain and look for ways to make it run as smoothly as possible (see pp.180–181).

Relating to your customers

- **Support a cause** your customers can relate to, such as sustainable sourcing of goods or community projects, and promote it so that customers always feel good about buying your goods or services.
- **Personalize communications** with your customers, using their preferred means of contact, such as email or Twitter.
- **Inform and entertain** customers with relevant additional content

beyond your direct product offering, such as blogs, useful tips, quizzes, and competitions.

- **Be transparent** with customers, sharing the efforts that go on behind the scenes, to reinforce the integrity and quality of your product and the team behind it.
- **Reward customers** through loyalty bonuses and offers, refer-a-friend schemes, and personalized discounts.

